Credit Risk Assessment | Synthetic Portfolio

Illustrative portfolio assessment for educational and recruitment portfolio purposes.

Portfolio overview

500 synthetic borrowers; total principal exposure INR 435,060,000; one-year expected loss INR 8,977,559 (2.06% of exposure).

Risk segmentation

Low risk: 103 borrowers; Moderate: 175; High: 222. Grades are heuristic, not a bank policy rating.

Methodology

Monthly installment uses fixed-rate amortization. Post-loan DTI and DSCR measure debt burden and cash-flow coverage. PD and LGD are synthetic assumptions derived from credit score, debt burden, and collateral proxy. ECL = principal x PD x LGD.

Stress testing

Adverse and severe scenarios increase assumed PD and LGD multipliers, capped at 100%. These are illustrative stress sensitivities, not macroeconomically estimated forecasts.

Recommendations

Prioritize manual review for weak debt-service coverage and high post-loan DTI. Monitor concentration by credit score and risk grade. Validate borrower cash flows and collateral before making any real lending decision.

Limitations

Entire dataset is synthetic. No historical defaults, observed recoveries, validation sample, calibration, vintage analysis, securitization waterfall, or regulatory accounting treatment. This is not an underwriting or IFRS 9 model.